

VALUE	VS	GROWTH
Companies that are undervalued by the market and will bounce back when their true value is realised	What do they buy?	Companies that have the potential to grow further and generate superior long-term earnings growth
Seek to identify companies that may have experienced a specific issue such as a decline in market share leading to negative market sentiment	How do they identify opportunities?	Place greater emphasis on projected growth rates in sales, earnings and market share
Valuation metrics like price-to-earnings, sales and book value that are lower than the market average	How are they valued?	Valuation metrics are higher than the market average as the market is willing to pay more for higher growth potential



WARREN BUFFETT

"THE MOST IMPORTANT QUALITY FOR AN INVESTOR IS TEMPERAMENT, NOT INTELLECT. YOU NEED A TEMPERAMENT THAT NEITHER DERIVES GREAT PLEASURE FROM BEING WITH THE CROWD OR AGAINST THE CROWD"

investing requires a fair degree of understanding of the business of the company and how it's functioning.

One should also be able to understand corporate governance practices followed by the company, financial statements, competitive intensity and various valuation methodologies. Do not make the mistake of looking at the cheap price of a company's stock which may be genuinely due to its poor prospects to be valued. While the rewards can be huge, buying low and selling high isn't as easy as it sounds. Remember when it comes to value investing, you may never get the opportunity to 'sell high', as your investments could easily remain stuck at the bottom.

Momentum Investing

In physics, an object in motion will stay in motion until it's acted upon by an external force. The momentum investing strategy is no different with the expectation of the stock price to keep going up for a period of time. This strategy doesn't follow any fundamentals or dive deep into company data. In a lot of ways, it is all about *tezi* in the market. It is a strategy which often borders on trading, and a lot of the run in the stock price is because a crowd is chasing the stock. In the momentum effect that pushes the stock price up, often the stock price keeps soaring for no clear reason.

This could be a highly successful strategy because just like trends, no matter how unjustified they seem, they could keep going for far longer than you might expect. Sometimes sectors or markets can keep rising for years. Or as John Maynard Keynes put it, "The market can stay irrational for longer than you can remain solvent." All the good with this strategy also comes with the plausible risk that trends often end abruptly, and in case of a broad market correction, the momentum stock may fall drastically taking a toll on its price.

Often one mistakes momentum investing with the core of investing principle—buy low, sell high. Momentum investing differs